

Consumer sentiment crashes

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By [Matthew Hassan](#)

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The Westpac–Melbourne Institute Consumer Sentiment Index fell heavily in April, declining 12.5% to 80.1 from 91.6 in March.



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- Westpac–Melbourne Institute Consumer Sentiment down 12.5% to 80.1

- Spiking fuel prices, rising interest rates trigger biggest fall since COVID.
- Near-term expectations drop back to 2022–23 ‘cost of living’ crisis lows.
- Job loss fears jump to 5½yr high (10yr high excl. COVID period).
- Consumers much less bullish on house price outlook.

Australian consumers are being hit by another ‘cost of living’ shock. The spike in fuel prices following the US–Israel war on Iran and a further 25bp interest rate increase are again putting finances under intense pressure. A sharp deterioration in expectations suggests consumers are bracing for a return to the extended period of weakness seen during the 2022–24 inflation fight. The April sentiment drop is the biggest monthly decline since the onset of the COVID pandemic. At 80, the Index is back near historical lows, albeit above the extremes seen at the onset of the pandemic and during the recessions of the early 1990s and 1980s” Mr Hassan commented.

All Index components deteriorated sharply in April. Recall that the Westpac–Melbourne Institute Consumer Sentiment Index is a composite measure based on five sub-indexes: one tracking assessments of family finances compared to a year ago; two tracking expectations for family finances and the economy over the next year; one tracking expectations for the economy over the next five years; and one tracking responses to whether now is a good time to buy a major household item.

The biggest falls were across components tracking assessments of ‘current conditions’. Surging fuel costs are weighing particularly heavily on the ‘family finances vs a year ago’ sub-index which plunged 16.7% to 66.8. This is an extremely low read, albeit a touch above the 65 average recorded between September 2022 and June 2024.

Average pump prices hit \$2.40/litre in the first week of April, up 37¢ from the time of the March survey and 77¢ compared to early February. This is easily the biggest rise in the history of the survey, with the increase in percentage terms comparable to the 50% annual rise recorded during the 1979 oil crisis. Note that the survey was taken after the Federal government’s temporary halving in fuel excise tax, which came into effect on April 1, the 26¢/litre reduction contributing to a 12¢/litre decline in average pump prices in the first week of the month.

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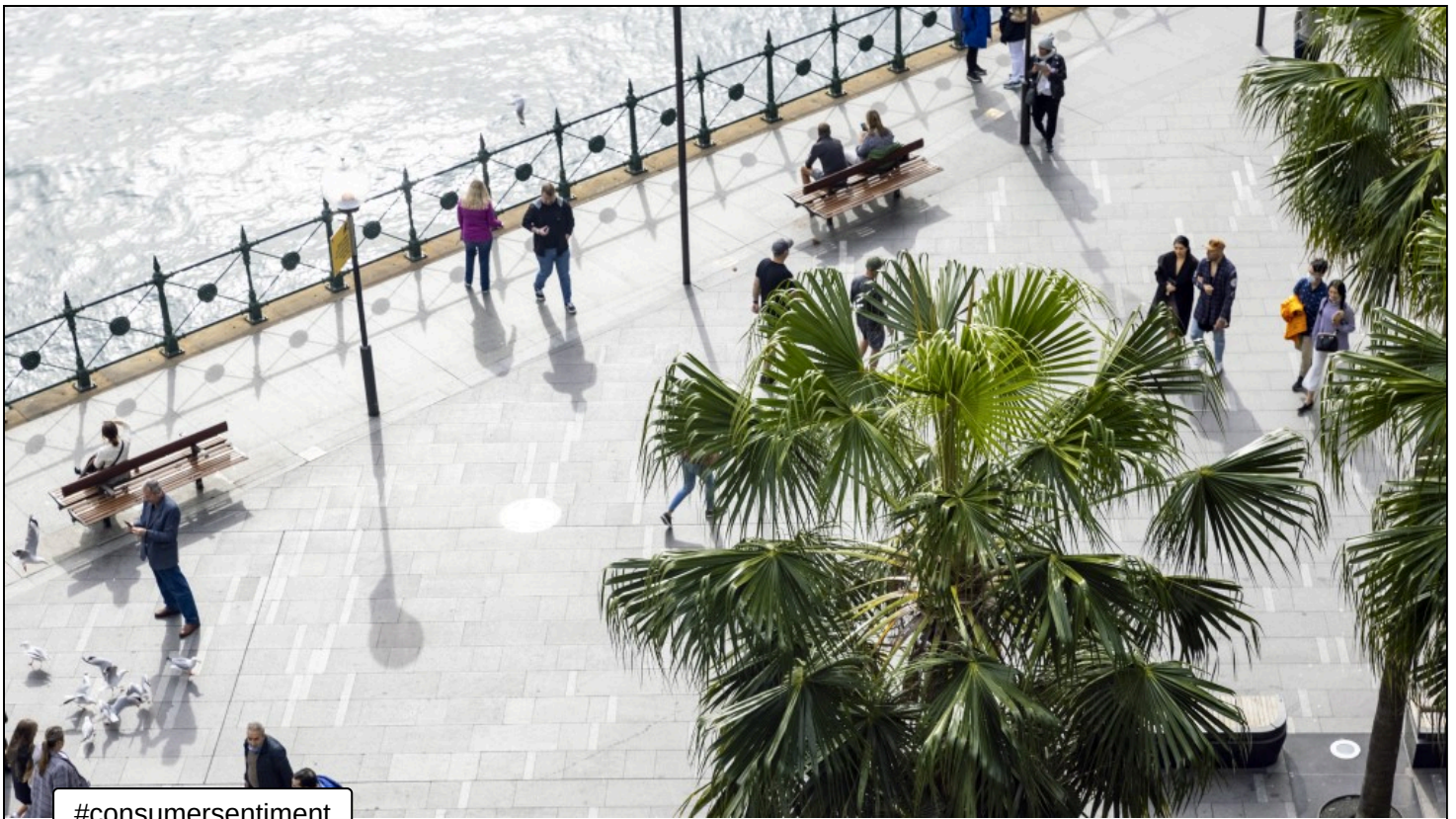
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